

backbone of propagating and verifying bitcoin transactions, but the hardware requirements are only for the most hardcore of hobbyists.³⁴

Lightweight clients, also referred to as thin clients, don't download Bitcoin's entire blockchain, nor do they propagate or verify new transactions being passed through the network. Instead, they rely on full nodes for complete information on Bitcoin's blockchain, and are primarily focused on providing transactional information involving only the user's bitcoin. A lightweight wallet is much more practical for the average user who doesn't have the means to deal with running a full client. With these wallets, the private key(s) are on the computer on which the software is downloaded. Popular lightweight clients include Coinomi, Electrum, and Jaxx.

Mobile Wallets

Technically, we are referring to mobile wallets that store the private keys on the device, as opposed to a third party's servers. Mobile wallets are similar to lightweight clients in that they don't download Bitcoin's blockchain (it would break the smartphone). Innovative investors can use them on the go should they need to transfer bitcoin to friends to pay for dinner at the local bar that accepts bitcoin for beers.

Numerous wallets appear on app stores as mobile applications but are not technically mobile wallets. They are web wallets that provide access through a mobile application. The distinction boils down to who is storing the private keys. If a third party is storing the private keys and the wallet is